Organization, Rotation, and Performance Management

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Hello everyone, I'm **Susanna Grigoryan**, an economist at the **Central Bank of Armenia and a Level One student at the Global Forecasting School.**

Today I'd like to walk you through how a modern Monetary Policy Department is organized under the FPAS Mark II framework, and how different roles work together to support high-quality forecasting, analysis, and decision making.

At the top of this structure is the Chief Economist, who also serves as the Head of the Monetary Policy Department. The Chief Economist is responsible for making sure all of the central bank's analytical resources—people, models, data, and time—are used efficiently to support the FPAS Mark II process. This person leads the main projects and processes in the department, and on a rotating basis coordinates and leads one of the quarterly projection rounds. The Chief Economist is also a key bridge between the Board and the staff, giving direction to the rest of the leadership team, including the Director of Operations and group managers, on both analytical and human-capital matters. To succeed in this role, the Chief Economist needs not only unquestionable macroeconomic expertise and a deep understanding of monetary policy, but also the ability to manage, lead, and inspire people every day.

Supporting the Chief Economist is the Deputy Head of the Monetary Policy Department, also referred to as the Director of Operations. This is a highly skilled macroeconomist who focuses on the operational side of the department. The Director of Operations manages the department's core assets—its models, documentation, data, and procedures—oversees how staff are allocated across tasks, and helps shape training, testing, and feedback processes. This role also involves building platforms for knowledge sharing, such as brown-bag lunches, seminars, workshops, and conferences, and coordinating closely with other parts of the central bank, from IT, cybersecurity, and HR to statistics, research, and financial stability. In many ways, the Director of Operations is the best of the group managers: someone who is technically strong but also excels at organizing work and supporting others so that the whole system runs smoothly.

Working with them are the administrative group managers. These are advanced macroeconomists who have mastered the core competencies of FPAS Mark II and reached higher certification levels. But what truly defines their role is not just technical ability; it's their skill in managing people and developing human capital. We think of managers not as "bosses" in a narrow sense, but as leaders who coach staff, help them grow, and create a supportive team culture. Group managers still do analytical work themselves, but a significant share of their time goes into training and coaching staff during the FPAS process, collaborating with them on products, helping to manage resources across teams, and providing ongoing feedback, including performance reviews and updates of job responsibilities. To be effective, they need to be inspirational, people-oriented, and committed to building one-on-one relationships, fostering teamwork and collegiality, and helping others succeed. This is not about being the smartest economist in the room; it's about nurturing a strong, healthy, high-performing team.

At the core of the department are the macroeconomists. They are the engine of FPAS Mark II and form the foundation of the team's analytical capacity. Macroeconomists are responsible for building and running models, drafting monetary policy reports, conducting cutting-edge research on key macroeconomic topics, and performing current analysis and scenario building. To operate at FPAS Mark II standards, they must be on track to becoming among the best in the world at what they do. This means having strong skills in current analysis, scenario design and policy analysis, clear communication, and modern macroeconomic theory and practice. They are expected to be fluent in both Armenian and English, have excellent command of advanced mathematics, and at least a working knowledge of coding languages such as R, Python, Matlab, or Julia. Underlying all of this is the most important trait: critical thinking. FPAS Mark II macroeconomists cannot simply accept that "the model says X, therefore it must be true," or that a finding is correct just because famous economists have written about it. They must develop and defend their own views through rigorous reasoning and empirical analysis.

In addition to the internal staff, the framework also makes space for discrete project-based contract hires. Not all highly skilled macroeconomists, statisticians, or modelers can or want to commit to a full-time career path within the MPD, which requires being a team player and investing heavily in communication skills. However, their specific expertise can still be extremely valuable. To capture this, the department can bring such experts in for fixed-term projects, especially when highly specialized skills are needed that the internal team does not yet fully possess, or when time and resources are constrained. These contract hires might come from other central banks, international financial institutions, universities, or research institutions abroad. They can help with model development, specialized analysis, or programming, and an equally important contribution is the training and research collaboration they provide to the FPAS team.

A crucial part of this organizational structure is how staff are arranged during projection rounds. The Monetary Policy Department is organized into four teams, each made up of six macroeconomists. During each projection round, two of these teams are actively involved. One team takes the lead and does the "heavy lifting" by building and running the main scenarios—Case A, Case B, and, when necessary, additional cases like Case X or Y. They also draft the sections of the Monetary Policy Report that correspond to these scenarios and assist in preparing the Board presentation. The second team plays a supporting role, providing tactical and technical support, and helping the lead team where needed. Each round is led by a Projection Round Team Lead, chosen on a rotational basis, who serves as the thought leader for that cycle and is responsible for guiding the team through the daily work of the projection round and presenting content to the Board. This role is different from that of the group managers: the Team Lead's focus is on leading the analysis and narrative of the round, while group managers focus on people and resource management. Throughout the round, the Team Lead also receives support and guidance from the Chief Economist.

Within the leading six-person team, responsibilities are structured carefully. Four macroeconomists are assigned to work on the case scenarios and take full ownership of the scenario-building process, as well as the relevant sections of the Monetary Policy Report. The remaining two members of the team serve as coordinators for individual Board members. They work directly with Board members from the kickoff meeting through to decision day, helping to translate the Board's concerns, ideas, and views into clear, structured one-page narratives that capture their understanding of the economy, the main drivers, and possible policy responses. These one-pagers are drafted in both the native language and English where relevant, and then submitted to the Chief Economist and the rest of the projection team, ensuring that the Board's perspectives are properly integrated into the scenarios and policy discussions.

After the projection round is completed, the case scenarios are locked in, the policy decision is taken, and the Monetary Policy Report is published. At that point, the round is formally over, and the focus shifts to preparing for the next policy cycle. The team that served as the back-up in the previous round now becomes the lead team for the upcoming projection. During the intervening period they take the lead in weekly macroeconomic monitoring meetings, prepare key analysis and stories that will feed into the next kickoff meeting, and continue work on research and improvements to the analytical toolkit. Over the course of a year, each of the four teams will lead a projection round once, serve as back-up once, and spend two quarters primarily on forward-looking work such as research, current analysis, and toolkit development. This rotation helps sustain the process over time, enhances productivity and efficiency, and supports a culture of collaboration, learning, and motivation across the department.

This is the essence of how FPAS Mark II envisions a modern Monetary Policy Department: with clearly defined, complementary roles; strong leadership; deep technical capacity; and a culture built on learning, critical thinking, and teamwork. Thank you for watching, and I hope this gives you a clearer picture of how all of these roles come together to support effective monetary policy.

Literature & Further Reading

- Archer, D., Galstyan, M., & Laxton, D. (2022). *FPAS Mark II: Avoiding Dark Corners and Eliminating the Folly in Baselines and Local Approximations.* Central Bank of Armenia Working Paper 2022/03.
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